

3.

Colonialism in India gained foothold in distinct stages with debilitating impact on the Indian economy. Discuss. (Answer in 250 words) 15

भारतीय अर्थव्यवस्था को प्रतिकूल रूप में प्रभावित करते हुए, भारत में उपनिवेशवाद ने विभिन्न चरणों में अपना आधार मज़बूत किया। चर्चा कीजिए।

The acquisition of political power after Battle of Plassey (1757) enabled East India Company to shape the Indian economy through legislation, taxation and trade policy. Therefore, economic exploitation became institutionalized through colonial state rather than remaining confined to commercial exchange.

The distinct stages that progressively subordinated Indian Economy to the needs of British Industrial Capitalism -

I. Agrarian restructuring -

a) Monetization of agriculture - Revenue collected in cash increased farmer's dependence on moneylenders.

b) Commodification of land - British land revenue policies introduced legally defined ownership, making land a "marketable asset".

c) Emergence of new rural class - The colonial state favoured zamindars, moneylenders by reinforcing feudalism in the upper class and

de-facto slavery among lower class through the consequences of its oppressive land revenue systems. (Absentee landlordism) through zamindari bandobast, 1793).

II Commercialization of Agriculture -

- a) Shift from subsistence to cash crops - led to very high inflation in food grains, leading to food insecurity and eventually culminating in famines.
- b) Reduced land fertility - due to focusing more on land revenue and less on land care.
- c) Bonded labour - The planters gave loans to indigo and opium cultivators at high rates and gave low wages $\Rightarrow$ Bonded slave like situation.
- d) Income instability - Farmers or villagers were integrated in global economy on unequal terms i.e. farmers faced price fluctuations from distant markets and often faced maltreatment.
- e) Contradictory nature - despite increased trades and exports, cultivators gained no standard of living as the resources were unequally distributed.

III Deindustrialization

a) Led to Ruralization - pushed more and more people from industries towards agriculture, $\therefore$ overburdening the agricultural sector.

b) Shift in exports - Indian exports shifted from cotton textiles to opium.

c) Decline in Royal Patronage - Artisans faced stiff competition from Britain's machine made goods.

d) Collapse of Artisans & weavers - EK agents (Gomastas) forced them to sell exclusively to company. This system even formalized through Rahbardi System in 1780.

Ironically, the very economic policies that strengthened British empire also undermined its legitimacy. The experiences of deindustrialization, recurring famines, drain of wealth transformed economic grievances into political Nationalism, making Economy one of the earliest battlegrounds of India's Freedom Struggle.